

Equivalent Citations

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Goli Eswariah v. Commissioner Of Gift Tax, Andhra Pradesh .

Supreme Court Of India (May 5, 1970)

CASE NO.

(From Andhra Pradesh), Civil Appeal No. 695 of 1968, decided on May 5, 1970

DISPOSITION

ALLOWED

JUDGES

- Justice K.S. Hegde
- Justice J.C. Shah

SUMMARY

Factual and Procedural Background

The appellant (assessee) was the *Karta* of a Hindu joint family. During the relevant previous year (23-10-1957 to 10-11-1958, assessment year 1959-60) he owned two self-acquired houses in Secunderabad and a cash deposit of Rs 1,50,000 with a partnership firm. By an unregistered deed dated 9-12-1957, he “threw” these assets into the family hotchpot, causing corresponding book entries in the firm’s accounts.

The Gift-tax Officer treated the extent of the assessee’s divested interest as a taxable gift. On first appeal the Appellate Assistant Commissioner held that absence of registration precluded a transfer of the immovable properties but upheld gift-tax on three-fourths of the cash deposit. The Income-tax Appellate Tribunal reversed, ruling that blending did not constitute a “transfer.”

At the Revenue’s instance the Tribunal referred the following question to the Andhra Pradesh High Court under Section 26(1) of the Gift-tax Act, 1958: Whether the declaration by which the assessee has impressed the character of joint Hindu family *property* on the self-acquired properties owned by him amounts to a transfer so as to attract the provisions of the Gift-tax Act. Bound by its earlier ruling in **CIT v. C. Satyanarayanamurthy**, the High Court answered in the affirmative. The assessee obtained a certificate of fitness, leading to the present Supreme Court appeal.

Legal Issues Presented

1. Does a unilateral declaration by a coparcener blending his self-acquired property with

joint family *property* constitute a “transfer of *property* ” under Section 2(xxiv) of the Gift-tax Act, 1958?

2. If so, does such a transfer amount to a “gift” within Section 2(xii) read with Section 3 (charging section) of the Act?

Arguments of the Parties

Revenue’s Arguments

- Invoked Section 2(xxiv) (d), contending that the assessee’s act was a “transaction entered into ... to diminish the value of his own *property* and to increase the value of the *property* of any other person,” i.e., the Hindu undivided family.
- In the alternative, argued that the act amounted to a “disposition” within the main part of Section 2(xxiv), thereby satisfying the definition of “transfer.”

Assessee’s Arguments

- Blending is a unilateral act inherent in Mitakshara Hindu law; it is neither bilateral nor contractual, and therefore cannot be a “transaction entered into” under Section 2(xxiv) (d).
- The absence of a registered conveyance for immovable *property* underscores that no legal transfer occurred; the *property* simply acquired a new legal character by the assessee’s volition.
- Because no “transfer” occurs, the essential precondition for a “gift” under Section 2(xii) fails.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
CIT v. C. Satyanarayanamurthy (A.P. HC)	Earlier view that blending constitutes a transfer/gift.	Distinguished and effectively overruled; Supreme Court disagreed with its interpretation of Section 2(xxiv)(d).
G.V. Krishna Rao v. First Addl. GTO (A.P. HC) & C.GT v. Jagdish Saran (All. HC)	Same view as above.	Not followed.
C.GT, Madras v. P. Bangaswami Naidu; VR S R M Ramaswami	Held that blending is not a transfer/gift	Cited as persuasive support for the assessee’s position

Chettiar v. C.GT (Madras HC, FB)		
Dr. A.R. Shukla v. C.GT (Gujarat HC, FB)	Same as above.	Relied upon for the unilateral nature of blending.
P.K. Subramania Iyer v. C.GT (Kerala HC)	Same as above.	Accepted.
Laxmibai Narayana Rao Nerlekar v. C.GT (Mysore HC)	Same as above.	Accepted.
Mallesappa Bendeppa Desai v. Desai Mallappa (SC)	Explains doctrine of “throwing into common stock.”	Used to describe the unilateral nature of blending.
Grimwade v. Federal Commissioner of Taxation (H.C. Australia)	Clause analogous to Section 2(xxiv) (d) requires a bilateral transaction.	Applied by analogy to show Section 2(xxiv) (d) cannot cover unilateral acts.
CIT, Madras v. M.K. Stremann (SC) & M.K. Stremann v. CIT (Madras HC)	Partition/ blending does not amount to transfer to minors.	Cited to reinforce that blending is not a “transfer.”

Court's Reasoning and Analysis

1. **Nature of Blending:** Drawing on prior Supreme Court authority, the Court reiterated that the doctrine of throwing self-acquired *property* into the common hotchpot is unique to Mitakshara law and is effected by the coparcener’s unilateral volition; no consent, acceptance, donor or donee is involved.

2. **Statutory Construction:** Under Section 2(xii) a “gift” presupposes a “transfer.” Section 2(xxiv) enumerates what constitutes a “transfer,” including in clause (d) a “transaction entered into” to decrease one’s own *property* and increase another’s.

3. **Clause (d) Inapplicable:** The phrase “transaction entered into” necessarily connotes bilateral or multilateral conduct. Because blending is unilateral, it cannot fall within Section 2(xxiv)(d). The family, though a “person” under the Act, did not engage in any transaction with the assessee.

4. **“Disposition” Argument Rejected:** The Revenue’s reliance on the broader word “disposition” in the chapeau of Section 2(xxiv) was dismissed; interpreted *ejusdem generis* with “conveyance, assignment, settlement...,” “disposition” also demands at least two parties. Otherwise, mere abandonment or destruction of *property* would become taxable, which the legislature could not have intended.

5. **Comparative Authority:** The Court approved the Australian decision in *Grimwade* , which interpreted analogous language to exclude unilateral acts. The Court also found support in the Full Bench rulings of Madras, Gujarat, Kerala, and Mysore High Courts.

6. **Consequent Finding:** Because the assessee’s act involved no “transfer,” the definitional foundation for a “gift” collapsed, removing the blended assets from the charge of gift-tax.

Holding and Implications

Appeal Allowed – Question Answered in the Negative. The declaration by which the assessee impressed joint-family character on his self-acquired *property* *did not* amount to a transfer attracting Gift-tax.

Implications: The decision relieves coparceners of gift-tax liability when they unilaterally blend self-acquired assets with joint family *property* . It harmonises national jurisprudence by rejecting earlier contrary views and affirms that Sections 2(xii) and 2(xxiv) of the Gift-tax Act operate only where a bilateral transfer is shown.

JUDGMENT

K.S Hegde, J.— This appeal by certificate arises from the judgment of the Andhra Pradesh High Court rendered in its advisory jurisdiction on a case stated by the Income tax Appellate Tribunal, Hyderabad Bench under **Section 26(1) of the Gift Tax Act, 1958** (to be hereinafter referred to as the “Act”). The question referred for the opinion of the High Court was:

“Whether the declaration by which the assessee has impressed the character of joint Hindu family *property* on the self-acquired properties owned by him amounts to a transfer so as to attract the provisions of the Gift Tax Act.”

2. The High Court following its earlier decision in CIT v. C. Satyanarayanamurthy answered that question in the affirmative.

3. The material facts as could be gathered from the statement of the case submitted to the High Court are as follows:

“The assessee is the Karta of his joint family. The assessment year with which we are concerned in this case is 1959-60, for which the ‘previous year’ is the year commencing on 23-10-1957 and ending on 10-11-1958. The assessee owned movable and immovable properties which were his self-acquisitions. By a deed, dated December 9, 1957, he threw into the common stock his houses bearing Nos. 6658-59 and 2731 situate at Imambavidi, Secunderabad and a cash deposit of Rs 1,50,000 in the firm of M/s Goli Eswariah, Paper Merchants, Secunderabad. In the books of account of the firm, necessary entries were made transferring the amount to the account of the family. The Gift Tax Officer treated that portion of the value of the properties so blended in which the assessee ceased to have a

right on partition of the family as having been gifted by him to the family. He rejected the contention of the assessee that his act of throwing his self-acquired properties into the common stock did not amount to a gift under the Act. In appeal, the Appellate Assistant Commissioner took the view that since the deed in question was not registered, there was no transfer of the immovable properties to the family and as such there was no gift of the two houses mentioned earlier but with regard to the sum of Rs 1,50,000, considered it as a gift and accordingly held that 3/4th of it was liable to be taxed under the provisions of the Act. Thereafter the matter was taken up in appeal to the Tribunal. The Tribunal by its order, dated November 17, 1961, held that the act by which the assessee threw his self-acquired properties to the family hotchpot did not amount to a transfer and hence it need not have been effected by a registered document. It further held that where the coparcener threw his self-acquired properties into the hotchpot of the joint family, there was no element of transfer within the meaning of **Section 2, clause (xxiv) sub-clause (d) of the Act**. At the instance of the Commissioner, Gift-tax, Andhra Pradesh. the Tribunal state a case for the opinion of the High Court and submitted the aforementioned question for its opinion. The High Court did not examine the question of law arising for decision afresh as it was bound by the earlier decision of that High Court in CIT v. C. Satyanarayanamurthy wherein that court had held that where a Hindu by a declaration has impressed on his self-acquired *property* the character of joint family *property*, the same would amount to a transfer of *property* within the terms of Section 2 (xxiv)(d) and as such is a gift as envisaged in Section 2(xii) and Section 4(a) of the Act. The view taken in that case was that an act similar to the one we are called upon to consider in this case would amount to a ‘transaction’ entered into by any person with intent thereby to diminish directly or indirectly the value of his own *property* and to increase the value of the *property* of any other person.”

4. On the question of law that we are required to decide in this case, there is a sharp cleavage of judicial opinion. The Andhra Pradesh High Court in the case referred to earlier as well as in [G.V Krishna Rao v. First Additional Gift Tax Officer, Guntur](#) and the Allahabad High Court in [Commissioner of Gift Tax v. Jagdish Saran](#) have taken the view that when a coparcener in, a Hindu undivided family governed by Mitakshra School throws his self-acquired properties into common stock, the same amounts to a “gift” under the Act. On the other hand, a full Bench of the Madras High Court in Commissioner of Gift Tax, Madras v. P. Bangaswami Naidu Tax Case 272 of 1964 and V. R.S.R.M Ramaswami Chettiar v. Commissioner of Gift Tax, Madras Tax Case No. 10 of 1966, a Full Bench of the Gujarat High Court in [Dr A.R Shukla v. Commissioner of Gift Tax, Gujarat](#), a Division Bench of the Kerala High Court in P.K Subramania Iyer v. Commissioner of Gift Tax, Kerala and a, Division Bench of the Mysore High Court in Laxmibai Narayana Rao Nerlekar Smt v. Commissioner of Gift Tax have taken a contrary

view.

5. To pronounce on the question of law presented for our decision, we must first examine what is the true scope of the doctrine of throwing into the “common stock” or “common hotchpot”. It must be remembered that a Hindu family is not a creature of a contract. As observed by this Court in *Mallesappa Bendeppa Desai v. Desai Mallappa* ([1961\) 3 SCR 779](#)) that the doctrine of throwing into common stock inevitably postulates that the owner of a separate *property* is a coparcener who has an interest in the coparcenary *property* and desires to blend his separate *property* with the coparcenary *property*. The existence of a coparcenary is absolutely necessary before a coparcener can throw into the common stock his self-acquired properties. The separate *property* of a member of a joint Hindu family may be impressed with the character of joint family *property* if it is voluntarily thrown by him into the common stock with the intention of abandoning his separate claim therein. The separate *property* of a Hindu ceases to be a separate *property* and acquires the characteristic of a joint family or ancestral *property* not by any physical mixing with his joint family or his ancestral *property* but by his own volition and intention by his waiving and surrendering his separate rights in it as separate *property*. The act by which the coparcener throws his separate *property* to the common stock is a unilateral act. There is no question of either the family rejecting or accepting it. By his individual volition he renounces his individual right in that *property* and treats it as a *property* of the family. No longer he declares his intention to treat his self acquired *property* as that of the joint family *property*, the *property* assumes the character of joint family *property*. The doctrine of throwing to the common stock is a doctrine peculiar to the Mitakshra School of Hindu law. When a coparcener throws his separate *property* into the common stock, he makes no gift under **Chapter VII of the Transfer of Property Act**. In such a case there is no donor or donee. Further no question of acceptance of the *property* thrown into the common stock arises.

6. Bearing in mind the true nature of the doctrine of throwing into the common hotchpot, we shall now proceed to examine the relevant provisions of the Act to ascertain whether the act of the assessee can be considered as a gift under the Act.

7. Section 3 is the charging section. It provides that subject to the other provisions contained in the Act, there shall be charged for every assessment year commencing on and from the 1st day of April, 1958, a tax known as gift tax in respect of the gifts, if any, made by a person during the previous year (other than gifts made before the 1st day of April, 1957) at the rate or rates specified in the Schedule. Gift is defined in Section 2(xii) as follows:

“ ‘Gift’ means the transfer by one person to another of any existing movable or immovable *property* made voluntarily and without consideration in money or money's worth, and includes the transfer of any *property* deemed to be a gift under Section 4.”

In this case we are not dealing with a deemed gift. Therefore we need not consider the scope of Section 4. Before an act can be considered as a gift as defined, there must be a

transfer of *property* by one person to another. “Person” is defined as including a Hindu undivided family in Section 2 (xviii). Section 2 (xxii) says that “*property*” includes any interest in *property* movable and immovable. Section 22(iv) defines “transfer of *property*” thus:

“ ‘Transfer of *property* ’ means any disposition, conveyance, assignment, settlement, delivery, payment or other alienation of *property* and, without limiting the generality of the foregoing includes—

(a) the creation of a trust in *property* ;

(b) the grant or creation of any lease, mortgage, charge, easement, licence, power, partnership or interest in *property* ;

(c) the exercise of a power of appointment of *property* vested in any person, not the owner of the *property* , to determine its disposition in favour of any person other than the donee of the power; and

(d) any transaction entered into by any person with intent thereby to diminish directly or indirectly the value of his own *property* and to increase the value of the *property* of any other person.”

8. The High Court relied on Section 2 (xxiv)(d) in answering the question referred to it in favour of the Revenue. It came to the conclusion that the act of the assessee in throwing his self-acquired properties into the common stock amounted to “a transaction entered into by him with intent thereby to diminish directly or indirectly the value of his own *property* and to increase the value of the *property* of any other person”. It is true that the assessee by throwing his self-acquired *property* into the common stock gave up his exclusive right in that *property* and in its place he was content to own that *property* jointly with the other members of his family. We do not think that it is necessary in this case to consider whether the act of the assessee can be said to have “diminished directly or indirectly the value of his own *property* and increased the value of the *property* ” of his joint family because in our opinion that act cannot be considered as a “transaction entered into”. Clause (d) of Section 2 (xxiv) contemplates a “transaction entered into” by one person with another. It cannot apply to a unilateral act. It must be an act to which two or more persons are parties. It is true that for the purpose of the Act, a Hindu undivided family can be considered as a “person”. But the assessee did not enter into any transaction with his family. Therefore we are unable to agree with the High Court that the act of the assessee fell within the scope of Section 2 (xxiv)(d) of the Act.

9. Section 2 (xxiv)(d) is similar to **para (f) of Section 4 of the Australian Gift Duty Assessment Act, 1941-42**. Interpreting that section in *Grimwade v. Federal Commissioner of Taxation* the High Court of Australia observed that the transaction by a person referred

to therein must be a transaction with some other person and that it cannot be a unilateral act.

10. Mr B. Sen, learned counsel for the department contended that the said act should be considered as a “disposition” under the main part of Section 2 (xxiv). The word “disposition” is not a term of law. Further it has no precise meaning. Its meaning has to be gathered from the context in which it is used. In the context in which that term is used in Section 2 (xxiv), it cannot mean to “dispose of”. Otherwise even if a man abandons or destroys his *property*, it would become a “gift” under the Act. That could not have been the intention of the legislature. In Section 2 (xxiv), the word “disposition” is used along with words “conveyance, assignment, settlement, delivery, payment or other alienation of *property*”. Hence it is clear from the context that the word “disposition” therein refers to a bilateral or a multi-lateral act. It does not refer to a unilateral act. In this connection reference may be usefully made to the decision of this Court in [CIT v. M.K Stremann](#). Therein the assessee first threw his private properties into the common stock and afterwards there was a partition amongst the members of the family which included his two minor sons and a minor daughter, represented by their mother. The question arose whether the partition in question amounted to a transfer of assets by the assessee to the three minor children so as to attract the provisions of **Section 16(3)(a)(iv) of the Indian Income Tax Act, 1922**. In that case, the Revenue did not contend in this Court that the act of the assessee throwing into common stock his self-acquired properties amounted to transfer of assets by the assessee to his three minor children. On the other hand, it contended that the partition that took place subsequently amounted to a transfer of assets of the assessee to his minor children. This Court overruled that contention. Therein the contention of the Revenue appeared to have proceeded on the basis that the antecedent act of the assessee viz. throwing his self-acquired properties to the common stock may not amount to a transfer of his assets to his minor children but the partition that followed amounted to such a transfer. In that very case the Revenue appears to have contended before the High Court that the act of the assessee in throwing his self-acquired properties into common stock amounted to a transfer of his assets to his minor children. The High Court observed that when the separate *property* of a coparcener ceases to be his separate and becomes impressed with the character of coparcenary *property*, there is no transfer of that *property* from the coparcener to the coparcenary; it becomes joint family *property* because the coparcener who owned it upto then as his separate *property*, has by the exercise of his volition, impressed it with the character of joint family or coparcenary *property*, to be held by him thereafter alongwith other members of the joint family; it is by his unilateral action that the *property* became joint family *property*; the transaction by which a *property* ceased to be the *property* of a coparcener and became impressed with the character of coparcenary *property*, does not itself amount to a transfer; no transfer need precede the change and no transfer ensues either — see [M.K Stremann v. CIT](#). We are in agreement with those findings.

11. For the reasons mentioned above, we allow this appeal, set aside the judgment of the High Court and answer the question referred to the High Court thus:

“The declaration by which the assessee has impressed the character of joint Hindu family *property* on the self-acquired properties owned by him did not amount to a transfer so as to attract the provisions of the Act.”

12. The Revenue shall pay the costs of the appellant in this appeal.